

Strategic Planning and Finance

What is strategic planning? This is a very important question for the student affairs administrator (SAA), and a more important question is: do you have a plan? From previous discussions, the SAA has a wide range of functional areas, including academic advising, admissions, assessment, research and program assessment, campus safety, community service, enrollment management, financial aid, disability support services, dining and food services, etc. There are other responsibilities not listed here, but it is a good enough list of SAA roles and responsibilities. The role of SAA is very dynamic. They are the planner, the problem-solver, and the decision-maker. The planning process is an essential duty of the SAA, and it comes with responsibility. Their decisions, policies, and practices can affect students, faculty, and the institution. That is why planning is an ongoing process of assessment to ensure that each area of responsibility meets the needs of students, faculty, and the institution. In addition, the mission statement is a central part of their strategic planning process.

This chapter presents three differences in thinking for strategic planning: 1) The Planning Process, 2) Budgeting, and 3) Trends in Finance and Budgeting. This synopsis is mainly focused on the planning process. Generally speaking, each person responsible should have, or prefer, a methodology for planning their activities. My planning approach is broken down into six categories:

- 1) Determining the problem,
- 2) Developing a plan
- 3) Plan decision
- 4) Executing a plan
- 5) Evaluating a plan
- 6) Planning for problems.

The most important aspect in a planning process is identifying a problem and how to address it. To keep a problem in perspective, the book starts by identifying the key questions institutions/SAA must answer (pg. 360):

- 1) Who will our students be
- 2) What should we teach
- 3) How should we teach it
- 4) How will students learn
- 5) What are society's needs
- 6) How does society expect us to meet its needs
- 7) What role will learning play
- 8) How will we pay for it

The book definition of strategic planning is:

"a formal process designed to help an organization identify and maintain an optimal alignment with the most important elements of its environment" (pg. 359).

According to Peterson (1999), the primary purpose of strategic planning is:

"institutional adaption by assuring congruence between and institution and its relevant and often changing environment, by developing a viable design for future of the institution, by modifying it as needed, and by division strategies that facilitate its accomplishment" (pg. 360).

Elements of strategic plan (Peterson 1999):

- Environment assessment (assessing the broad environment in which the institution functions)
- Institutional assessment (clarifying strengths and weaknesses)
- Values Assessment (considering values, aspirations, and ideals)
- Master plan creation (devising a strategic plan based on the first three elements)

In addition, the leader of strategic planning must be the champion of strategic change (pg. 360). The book discusses the senior student affairs officer (SSAO) and top-level staff; they must be strong leaders. The quality of a strong leader is having a vision for success and a strategic priority aligned with institutional priorities. They must believe in the institutional mission. Communication skills are crucial in the planning process (pg. 361).

Four ingredients of success in planning:

- Developing a proposal of what should be accomplished that is designed to encourage discussion and debate
- Trimming deeply enough and capturing new money so that innovation can occur
- Paying close attention to finances;
- Achieving “small wins” (Weick, 1984)

Neufield, 1999, believes that attention can be paid to a small number of problem and opportunity areas.

- Should concentrate on key operating decisions factoring the institution in the intermediate future, such as the next 3 years.
- Employs a participatory planning process
- Attention to process as well as products is critical.

The Planning Process

Here are seven steps to the strategic planning process that is based on the model of Ern (1993), Meyerson and Jobhson (1993) (pg. 362-364).

1. Initiate the planning process
2. Review of the institution's mission statement
3. Assess the environment
4. Develop a vision and goals for success
5. Develop preliminary plans for each unit
6. Review preliminary plans
7. Identify alternatives and determine a final plan

Determining Program Viability

1. Essentiality
2. Quality
3. Availability
4. Need or demand
5. Efficiency
6. Outcomes

The planning process is about organization, problem-solving, designing solutions to problems, and planning for the future. The stages of planning are identifying a problem, assessing it, proposing a solution, evaluating it, and having a backup plan. Each stage of the planning process is as important as any other. The person who comes up with a plan is as important as the person who executes it, and this includes students, faculty, communities, and the institution. Having a plan is very important not only to SSA but also to students, faculty, and the institution. It's about responsibility. Faculty is responsible for their lesson plan. Employees are responsible for planning their daily activities. Students are responsible for planning their homework and academic study. For a plan to succeed, everyone needs to play their role.

In higher education, there are many notable models of strategic planning model that includes PPBS (Planning, Programming, and Budgeting, and Budgeting Systems), BMO (Management by Objectives), PERT (Program Evaluation Review Technique), MIS (Management Information Systems), TQM (Total Quality Management), and CQI (Continuous Quality Improvement). There is no single best practice model.
